**12. Income Taxes**

"Income (loss) before provision for income taxes" as shown in the accompanying Consolidated Statements of Income (Loss) is comprised of the following (in thousands):

| | Year Ended December 31, | | |
|---|---|---|---|
| | 2021 | 2020 | 2019 |
| Domestic | $ (53,152) | $ 15,515 | $ 44,874 |
| Foreign | 30,991 | 14,193 | 13,422 |
| Total | $ (22,161) | $ 29,708 | $ 58,296 |

Components of the "Provision for income taxes" in the accompanying Consolidated Statements of Income (Loss) consist of the following (in thousands):

| | Year Ended December 31, | | |
|---|---|---|---|
| | 2021 | 2020 | 2019 |
| **Current** | | | |
| Federal | $ 798 | $ 2,265 | $ 2,533 |
| Foreign | 3,556 | 4,418 | 4,929 |
| State and local | 633 | 580 | 1,137 |
| Total current expense | 4,987 | 7,263 | 8,599 |
| **Deferred expense** | | | |
| Federal | (840) | 1,288 | 2,157 |
| Foreign | (752) | 351 | (142) |
| State and local | (936) | 260 | 368 |
| Total deferred expense | (2,528) | 1,899 | 2,383 |
| **Provision for income taxes** | $ 2,459 | $ 9,162 | $ 10,982 |

A reconciliation of the U.S. statutory income tax rate to the Company's effective tax rate is as follows:

| | Year Ended December 31, | | |
|---|---|---|---|
| | 2021 | 2020 | 2019 |
| U.S. statutory tax rate | 21.0 % | 21.0 % | 21.0 % |
| State and local taxes, net of federal benefit | 3.1 | 3.1 | 3.1 |
| Income attributable to non-controlling interests [a] | (9.3) | (9.9) | (10.0) |
| Subtotal | 14.8 % | 14.2 % | 14.1 % |
| Non-creditable foreign and domestic taxes - non-controlling interest [b] [c] | (7.0) | 5.1 | 2.8 |
| Non-creditable foreign taxes - RE/MAX Holdings [c] [d] | (3.7) | 2.1 | 1.1 |
| Foreign derived intangible income deduction [c] | 4.4 | (3.1) | (1.5) |
| Other permanent differences | (1.2) | 2.0 | 0.7 |
| Uncertain tax positions | 6.1 | 1.9 | 1.0 |
| Loss on contract settlement [e] | (26.7) | — | — |
| Adjustments to state taxes [f] | 3.9 | — | — |
| 162(m) compensation limitation | (1.8) | — | — |
| Conversions of acquired C-Corporations to pass-through entities [g] | — | 8.4 | — |
| Other | 0.1 | 0.2 | 0.6 |
| | (11.1)% | 30.8 % | 18.8 % |

(a) Given the majority of the Company's income is generated via a pass-through entity of which the non-controlling interest owns approximately 40.0%, that proportion of the Company's income is not subject to U.S. or state income tax rates.



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(b) Approximately 40.0% of foreign taxes paid at the RMCO level and corporate subsidiary taxes are attributable to the non-controlling interest. As a result, these taxes are not creditable against the U.S. taxes of Holdings.

(c) The percentage impact of these items switched directionally as compared to 2020 because the Company's pre-tax net income changed from positive to negative from 2020 to 2021 while the underlying tax or deduction was relatively unchanged.
(d) While a portion of our foreign taxes are creditable within the U.S., most of the taxes we pay in Canada are not creditable.
(e) Loss on contract settlement is a result of the acquisition of INTEGRA and is not recognized for US income tax purposes.
(f) As a result of the acquisition of INTEGRA, the state filing footprint of RE/MAX has changed which has modified the blended state rate and resulted in a small remeasurement of our net deferred tax assets.
(g) In 2020, the Company converted wemlo and First from C Corporations to flow-through entities, which triggered taxable gains. These conversions are expected to provide long-term tax benefits, both additional amortization and avoiding double taxation on profits.

Deferred income taxes are provided for the effects of temporary differences between the tax basis of an asset or liability and its reported amount in the accompanying Consolidated Balance Sheets.

These temporary differences result in taxable or deductible amounts in future years. Details of the Company's deferred tax assets and liabilities are summarized as follows (in thousands):

| | As of December 31, | |
|---|---|---|
| | 2021 | 2020 |
| **Long-term deferred tax assets** | | |
| Goodwill, other intangibles and other assets | $ 39,531 | $ 41,924 |
| Imputed interest deduction pursuant to tax receivable agreements | 2,241 | 2,306 |
| Operating lease liabilities | 2,362 | 2,671 |
| Compensation and benefits [(a)] | 5,904 | 3,237 |
| Allowance for doubtful accounts | 1,167 | 1,429 |
| Contingent consideration liability | 839 | 1,034 |
| Deferred revenue | 3,953 | 3,891 |
| Foreign tax credit carryforward | 4,510 | 2,996 |
| Net operating loss carryforward [(b)] | 653 | — |
| Other | 1,034 | 817 |
| Total long-term deferred tax assets | 62,194 | 60,305 |
| Valuation allowance [(c)] | (7,671) | (6,834) |
| Total long-term deferred tax assets, net of valuation allowance | 54,523 | 53,471 |
| **Long-term deferred tax liabilities** | | |
| Property and equipment and other long lived assets | (1,239) | (1,577) |
| Goodwill, other intangibles and other assets [(a)] | (15,499) | — |
| Other | (1,170) | (1,682) |
| Total long-term deferred tax liabilities | (17,908) | (3,259) |
| Net long-term deferred tax assets | 36,615 | 50,212 |
| **Total deferred tax assets and liabilities** | $ 36,615 | $ 50,212 |

(a) Amounts as of December 31, 2021 include deferred tax liabilities related to the acquisition of INTEGRA's U.S. and Canadian subsidiaries.
(b) Net operating loss for the Company's Canadian subsidiary.
(c) Includes a valuation allowance on deferred tax assets for goodwill and other intangibles in the Company's Western Canada operations, as well as foreign tax credit carryforwards.

As of December 31, 2021, the Company had $4.5 million in unutilized foreign tax credit carryforwards. If unused, the carryforwards will begin to expire during the years 2029-2032. This amount includes approximately $4.1 million of foreign tax credits that have a valuation allowance booked against them as of December 31, 2021. The Company also had net operating loss carryforwards of $0.7 million related to a Canadian subsidiary. The Company anticipates that this net operating loss will be utilized within the next two years and the expiration date of this loss is 2042.

Net deferred tax assets are recorded related to differences between the financial reporting basis and the tax basis of Holdings' proportionate share of the net assets of RMCO. Based on the Company's historical taxable income and its expected future earnings, management evaluates the uncertainty associated with booking tax benefits and determines whether the deferred tax assets are more likely than not to be realized, including evaluation of deferred tax liabilities and the expectation of future taxable income. If not expected to be realized, a valuation allowance is recognized to offset the deferred tax asset.

The Company and its subsidiaries file, or will file, income tax returns in the U.S. federal jurisdiction and various states and foreign jurisdictions. Holdings will file its 2021 income tax returns by October 15, 2022. RMCO is not subject to domestic federal income taxes as it is a flow-through entity; however, RMCO is still required to file an annual U.S. Return of Partnership Income. With respect to state and local jurisdictions and countries outside of the U.S., the Company and its subsidiaries are typically subject to examination for three to four years after the income tax returns have been filed. As such, income tax returns filed since 2017 are subject to examination.

***Uncertain Tax Positions***

During 2021 the Company settled uncertain tax positions related to certain foreign tax matters that were accrued in prior years. The Company also recognized additional uncertain tax positions related to acquired corporations. While the Company believes the liabilities recognized for uncertain tax positions are adequate to cover reasonably expected tax risks, there can be no assurance that an issue raised by a tax authority will be resolved at a cost that does not exceed the liability recognized. Interest and penalties are accrued on uncertain tax positions and included in the “Provision for income taxes” in the accompanying Consolidated Statements of Income (Loss).

During 2021 and in connection with the INTEGRA acquisition, the Company assumed an uncertain tax position related to certain U.S. tax matters and also recorded a largely offsetting related indemnification asset. See Note 6 for further details.

Uncertain tax position liabilities represent the aggregate tax effect of differences between the tax return positions and the amounts otherwise recognized in the consolidated financial statements and are recognized in “Income taxes payable” in the Consolidated Balance Sheets. A reconciliation of the beginning and ending amount, excluding interest and penalties is as follows:

| | As of December 31, | |
|---|---|---|
| | **2021** | **2020** |
| **Balance, January 1** | $ 5,300 | $ 4,810 |
| Increases related to prior period tax positions | 96 | 490 |
| Decrease related to prior year tax positions | (815) | — |
| Increase related to tax positions from acquired companies | 1,587 | — |
| Settlements | (4,944) | — |
| Foreign currency transaction (gains) losses | 363 | — |
| **Balance, December 31** | $ 1,587 | $ 5,300 |

(a) Excludes accrued interest and penalties of $0.6 million and $2.3 million for the years ended December 31, 2021 and 2020, respectively. These related interest and penalties are recognized in “Income taxes payable” within the Consolidated Balance Sheets.

A portion of the Company’s uncertain tax positions have a reasonable possibility of being settled within the next 12 months.